

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$257.05 ▼ 2.03%

12M Price Target
\$320.00

52-Week Range
\$70.69 – \$329.88

Market Cap
\$231.01B

MRVL: Stifel's \$350 Call Validates AI Custom Silicon Story

WHAT HAPPENED

- Stock is taking a small breather (-2%) after a big run — MRVL is up ~7% in a week and now sits at 72% of its 52-week range. This is normal digestion, not a red flag.
- Stifel reiterated a \$350 price target citing Marvell's "2nm capacity edge" at TSMC — meaning MRVL has locked in early access to the next-generation chip manufacturing process, which is a huge deal because 2nm capacity is scarce and hyperscalers (Amazon, Microsoft, Meta) need it for custom AI chips.

WHY IT MATTERS

The Stifel note matters more than the small pullback — analysts are anchoring price targets ~35% above current levels, and options flow confirms it (call buyers paying up for \$285 and \$295 strikes expiring in October, betting the stock keeps climbing). The bigger story: MRVL is becoming the "picks and shovels" play for hyperscaler custom silicon — instead of buying Nvidia GPUs, cloud giants are increasingly designing their own AI chips, and Marvell is one of only two companies (the other is Broadcom) with the engineering to actually build them. That means MRVL's revenue increasingly rides on Amazon, Microsoft, and Meta's AI capex budgets — which just keep going up. The mild -2% today is a gift if you don't own it yet.

POLICY & POLITICAL WATCH

The CHIPS Act (2022) continues to be a direct tailwind — it subsidizes US-designed semiconductors and MRVL, as a fabless US designer, benefits from the ecosystem investment without the burden of building fabs. More importantly: the Trump administration's expanded export controls on China (tightened in 2025-2026) actually help MRVL because they push hyperscalers to source more custom silicon domestically, and they hurt Chinese competitors like HiSilicon. The one to watch is any expansion of Section 232 tariffs on semiconductors — that could raise costs across the supply chain, though MRVL's high-end AI chips have enough pricing power to absorb it.

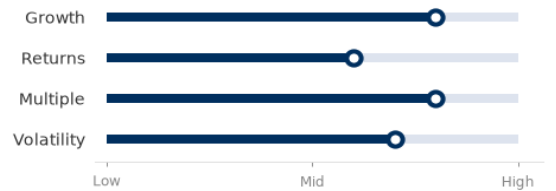
IS IT EXPENSIVE?

At ~93x forward earnings, MRVL is expensive — investors are paying \$93 for every \$1 the company is expected to earn next year, versus the S&P 500 at ~22x. But the growth justifies a lot: AI-related revenue is roughly doubling year-over-year, and if you look at it on EV/sales (enterprise value divided by revenue) it's around 22x — pricey but in line with Broadcom and Nvidia, its closest peers. The multiple only works if AI revenue keeps compounding at 50%+ — any deceleration and this stock gets punished hard.

Key Data

Price (USD)	\$257.05
12M Price Target	\$320.00
Upside / (Downside)	+24.5%
Market Cap	\$231.01B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.75
FY2027E EPS	\$3.85
Fwd P/E	93.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$265.00	\$235.00
6 Months	\$340.00	\$295.00	\$220.00
1 Year	\$380.00	\$320.00	\$200.00
2 Years	\$460.00	\$375.00	\$180.00
5 Years	\$650.00	\$475.00	\$220.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+5.96% over 5 days) is leading — AI infrastructure names are still the market's favorite trade, with money flowing into anything tied to hyperscaler spending. Materials caught a bid today too, likely on infrastructure bill chatter.

COOLING OFF: Energy (-4.93% over 5 days) is getting hammered on softer oil prices. Healthcare is flat-to-down as drug pricing rhetoric heats up ahead of budget negotiations.

ROTATION WATCH: Money is rotating within tech — from mega-cap software into semis and AI infrastructure. That's a direct tailwind for MRVL because it's a pure-play on the "physical layer" of AI buildout.

RELATED PLAY: If you like MRVL's story, look at the data center ecosystem — Vertiv (VRT) for cooling, Coherent (COHR) for optical transceivers (which MRVL competes with but the market is big enough for both).

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The other custom silicon king — winning Google TPU business and setting the bar for MRVL's valuation. When AVGO runs, MRVL usually follows.
- NVDA (Nvidia): Still the AI benchmark — every strong NVDA data point validates the broader AI capex thesis that MRVL rides on.

MRVL CONTEXT: MRVL is holding its own with peers but is a "second derivative" AI play — it moves with the group but with more leverage. It's up nicely from the summer lows and near range highs, meaning it's leading, not lagging. That's bullish but also means less margin of safety if the AI trade wobbles.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$235-245 on tech pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of a major hyperscaler custom silicon contract (Amazon Trainium or Microsoft MAIA), or AI capex guidance cuts from top 4 hyperscalers

Hedging: Small put position on SMH (semi ETF) or pair with short on a lagging analog semi name